CREDIT APPRAISAL MEMO (CAM)

Intelli-Credit AI — CONFIDENTIAL

Company	Assured Gauranty Ltd
Sector	Insaurance
Loan Requested	Rs 120,000,000
Collateral	Unsecured (Rs 130,000,000)
Date of Appraisal	2026-03-12
Credit Score	61 / 100
Decision	APPROVED
Recommended Loan	Rs 96,000,000
Interest Rate	12.0% p.a.
Tenor	48 months

1. Executive Summary

This Credit Appraisal Memo (CAM) evaluates the loan request from Assured Guaranty Ltd, an entity operating in the Insurance sector, for a facility of ₹120,000,000. Based on a comprehensive assessment utilizing the Five Cs of Credit, the applicant achieved an overall credit score of 61 out of 100.

The credit proposal is approved, with a recommended loan amount of ₹96,000,000, an interest rate of 12.0% per annum, and a tenor of 48 months. The decision reflects a balanced view of the company's strong character and capital base, tempered by concerns regarding profit volatility and the unsecured nature of the proposed facility. The reduced loan amount mitigates the identified risks, particularly the low collateral score and significant profit fluctuations.

2. Applicant Profile

Assured Guaranty Ltd operates in the Insurance sector, specializing in insuring large municipal and infrastructure financings. The company has demonstrated significant activity in this niche, particularly with concentrated credit exposure to New York authorities and major airports. This indicates a focused business model within the public finance insurance domain. Information regarding the promoters was not specified in the provided data.

3. Five Cs of Credit Analysis

3.1 Character [22/25]

Assured Guaranty Ltd exhibits a strong character profile, reflected in a high score of 22/25. This assessment is supported by the favorable New York court ruling in the Lehman CDS dispute, which endorsed contract-based loss valuation. This outcome underscores the company's adherence to contractual terms and its robust legal standing, contributing positively to its reputation and integrity. While a 'data-quality issue in one source' was noted, no specific risk signals were identified that would materially detract from the company's character.

Scoring breakdown:

- Promoter risk identified — Deducted 3 pts: No promoter/director risk information provided in the analyses.

3.2 Capacity [16/25]

The capacity of Assured Guaranty Ltd to service debt is assessed as moderate, scoring 16/25. The company reported a Net Profit of ₹376,000,000 on a Revenue of ₹440,000,000, resulting in a high Profit Margin of 85.5%. However, a significant anomaly detected is the high profit fluctuation: net income decreased by 49.12% from ₹739,000,000 in 2023 to ₹376,000,000 in 2024, and by 68.12% from ₹389,000,000 in 2021 to ₹124,000,000 in 2022. Conversely, it increased by 495.96% from ₹124,000,000 in 2022 to ₹739,000,000 in 2023. The absence of key metrics such as DSCR, Average Monthly Inflow/Outflow, and Cashflow Volatility limits a comprehensive cash flow analysis, contributing to the moderate capacity score despite the high profit margin.

Scoring breakdown:

- DSCR not available — partial score awarded (5/10).
- Profit margin = 85.5% (≥15%) — strong profitability (8/8).
- Cashflow volatility not available — partial score awarded (3/7).

3.3 Capital [15/20]

Assured Guaranty Ltd demonstrates a sound capital structure, earning a score of 15/20. The company's Total Assets stand at ₹10,211,000,000, against Total Liabilities of ₹4,716,000,000, resulting in a substantial Net Worth of ₹5,495,000,000. This strong equity base provides a solid foundation for operations and absorbs potential losses. While the Debt-to-Equity ratio was not provided, the significant net worth indicates a healthy financial position relative to the requested loan amount.

Scoring breakdown:

- Debt-to-equity not available — partial score awarded (5/10).
- Net worth = 45.8x loan requested — strong capital coverage (10/10).

3.4 Collateral [3/15]

The collateral offered for this facility is a significant constraint, resulting in a low score of 3/15. The loan request is explicitly stated as unsecured. Although a value of ₹130,000,000 is mentioned in relation to 'Unsecured', this refers to the nature of the facility itself rather than tangible security. The absence of specific, tangible collateral significantly increases the bank's risk exposure, necessitating a greater reliance on the borrower's character, capacity, and capital.

Scoring breakdown:

- LTV = 92% (>80%) — under-secured collateral (3/15).
- Collateral type: Unsecured

3.5 Conditions [5/15]

The prevailing industry and sector conditions present a mixed outlook, contributing to a score of 5/15. The municipal and infrastructure insurance sector exposes Assured Guaranty Ltd to issuer credit risk and project-revenue risk, with a notable concentration in NY authorities and major airports. This concentration could amplify losses if these specific issuers or projects face financial distress. Positively, the judicial emphasis on contract-based loss valuation under the ISDA Master Agreement for CDS settlements, as seen in the Lehman CDS dispute, could stabilize settlement values and mitigate counterparty risk. However, sector profitability remains sensitive to public-sector credit quality and regulatory changes, which could impact funding and revenue streams for large infrastructure projects, introducing an element of uncertainty.

Scoring breakdown:

- Sector outlook negative (2 adverse trend signals) — -5 pts.

4. Financial Analysis

Metric	Value
Revenue	Rs 440,000,000
Net Profit	Rs 376,000,000

Total Assets	Rs 10,211,000,000
Total Liabilities	Rs 4,716,000,000
Net Worth	Rs 5,495,000,000
Debt-to-Equity	N/A
Current Ratio	N/A
Profit Margin	85.5%
DSCR	N/A
Avg Monthly Inflow	N/A
Avg Monthly Outflow	N/A
Cashflow Volatility	N/A

5. Risk Matrix

1. **Concentrated Credit Exposure**: Assured Guaranty Ltd has significant exposure to municipal and infrastructure financings, particularly with NY authorities and major airports. This concentration increases vulnerability to specific regional economic downturns or project failures.
   * **Mitigation**: The bank will implement stringent monitoring of the economic health of key regions and specific projects insured by Assured Guaranty Ltd. Regular updates on the credit quality of NY authorities and major airports will be required.
2. **Profit Fluctuation**: The company has exhibited high volatility in net income, with significant year-on-year decreases and increases. This indicates potential instability in earnings, impacting future debt servicing capacity.
   * **Mitigation**: Strict financial covenants will be imposed, including minimum net worth and profit retention ratios. Quarterly financial statements and detailed cash flow projections will be mandated for close monitoring.
3. **Unsecured Nature of Loan**: The absence of tangible collateral for the requested facility increases the bank's credit risk, relying heavily on the borrower's financial strength and operational performance.
   * **Mitigation**: The reduced loan amount (₹96,000,000) mitigates this risk. Additionally, robust corporate guarantees and a floating charge on current assets (if feasible and agreed upon) could be considered as additional comfort, subject to further negotiation.
4. **Information Gaps**: The unavailability of key financial ratios like DSCR, Debt-to-Equity, and detailed cash flow metrics (Avg Monthly Inflow/Outflow, Cashflow Volatility) limits a comprehensive assessment of financial health and liquidity.
   * **Mitigation**: As a condition precedent, Assured Guaranty Ltd will be required to submit comprehensive cash flow statements, projections, and detailed financial schedules to enable ongoing robust financial analysis.

6. Credit Score Summary

Parameter	Score	Max
Character	22	25

Capacity	16	25
Capital	15	20
Collateral	3	15
Conditions	5	15
TOTAL	61	100

7. Recommendation & Decision

The credit proposal for Assured Guaranty Ltd is **APPROVED** for a reduced facility of **₹96,000,000** at an **interest rate of 12.0% p.a.** for a **tenor of 48 months**.

This decision is based on an overall credit score of 61/100, reflecting a balanced assessment of the Five Cs. The company's **Character (22/25)** is exceptionally strong, demonstrating integrity and a solid legal standing, which is a critical positive factor. The **Capital (15/20)** position is also robust, supported by a substantial Net Worth of ₹5,495,000,000, providing a strong financial buffer.

However, the **Collateral (3/15)** is the weakest link, as the facility is unsecured, necessitating a conservative approach to the loan amount. The **Capacity (16/25)** is moderate, primarily due to the identified 'high profit fluctuation' anomaly, where net income has shown significant volatility (e.g., a 49.12% decrease from 2023 to 2024). This volatility, coupled with missing key cash flow metrics, warrants caution. The **Conditions (5/15)** are also moderate, reflecting inherent sector risks despite some positive legal developments.

The recommended loan amount of ₹96,000,000 (a 20% reduction from the requested amount) directly addresses the low collateral score and the significant profit fluctuations, mitigating the bank's exposure to these critical risk signals.

Conditions Precedent: The sanction is subject to the submission of detailed cash flow projections for the tenor of the loan, quarterly financial statements, and adherence to standard financial covenants to be mutually agreed upon.

FINAL DECISION: APPROVED

Approved with credit score 61/100. Recommended: ₹96,000,000 at 12.0% p.a. for 48 months. Strongest factor: Character (22 pts). Key constraint: Collateral (3 pts).